

price changes. Yet the law that governs them can be stated reasonably simply: *Every significant price move of any individual common stock in relation to stocks as a whole occurs because of a changed appraisal of that stock by the financial community.*

Let us see how this works in practice. Two years ago company G was considered quite ordinary. It had earned \$1 per share and was selling at ten times earnings, or \$10. During these last two years most companies in its industry have been showing a downward profit trend. In contrast, a series of brilliant new products, combined with better profit margins on old products, enabled G company to report \$1.40 per share last year and \$1.82 this year and to give promise of further gains over the next several years. Obviously the actions within the company that produced the sharp contrast between G's recent results and those of others in the industry could not have started just two years ago but must have been going on for some time; otherwise the operating economies and the brilliant new products would not have occurred. However, belated recognition (i.e., appraisal) of how well G is qualifying in regard to matters covered in our discussions of the first three dimensions has now caused the price-earnings ratio to rise to 22. When compared with other stocks showing similar above-average business characteristics and comparable growth prospects, this ratio of 22 does not appear at all high. Since 22 times \$1.82 is \$40, here is a stock that has legitimately gone up 400 percent in two years. Equally important, a record such as G's is frequently an indication that there is now a functioning management team capable of continued growth for many years ahead. Such a growth, even at a more modest rate averaging, say, 15 percent in the next decade or two, could easily result in profits by that time running into the thousands rather than the hundreds of percent.

The matter of "appraisal" is the heart of understanding the seeming vagaries of price-earnings ratios. It should never be forgotten that an appraisal is a subjective matter. It has nothing necessarily to do with what is going on in the real world about us. Rather, it results from what the person doing the appraising believes is going on, no matter how far from the actual facts such a judgment may be. In other words, any individual stock does not rise or fall at any particular moment in time because of what is actually happening or will happen to that company. It rises or falls according to the current consensus of the financial community as to what is happening and